MAHATMA GANDHI UNIOVERSITY, KOTTYAM
MGU- UGP(HONOURS) REGULAR EXAMINATION MARCH 2025
SECOND SEMESTER
Multi – Disciplinary Courses (MDC) – MG2MDCHMC100
BASICS OF MANAGEMENT PRINCIPLES
(2024 ONWARDS)

Duration : 1.5 Hours **Maximum marks :35**

PART A

Answer any 6 questions, Each question carries 2 marks

1. What is the meaning of management?

Management refers to the process of planning, organizing, leading, and controlling resources—such as people, finances, materials, or information—to achieve specific goals efficiently and effectively. It's about coordinating efforts, making decisions, and guiding actions to ensure that objectives are met while balancing productivity, innovation, and sustainability.

2. Give one example of a management function?

One example of a management function is **planning**. Planning involves setting objectives, determining the best course of action to achieve those objectives, and allocating resources effectively.

3. Give any two differences between management and administration?

Scope and Focus:

- **Management** is primarily focused on executing plans, organizing resources, and ensuring daily operations run smoothly.
- **Administration** is more concerned with formulating policies, setting objectives, and overall decision-making at a higher level.

Level of Authority:

- **Management** operates at the middle and lower levels, implementing strategies and handling operational tasks.
- **Administration** functions at the top level, dealing with strategic planning and policy formulation.

4. Define Fayol's principle of 'Division of Work'?

enri Fayol's principle of **'Division of Work'** emphasizes that work should be divided among individuals and teams based on their skills, expertise, and specialization. This specialization allows each person to focus on a specific task, leading to greater efficiency, improved quality, and higher productivity

5. What is a line and staff organization?

A **line and staff organization** is a type of organizational structure that combines the traditional **line organization** (direct authority and hierarchical structure) with the addition of **staff specialists** who provide advice, support, and expertise.

6. Who typically makes strategic decisions in an organization?

trategic decisions are typically made by the **top-level management** of an organization. This includes executives such as the **board of directors, CEOs, managing directors, and senior leadership teams**. These individuals focus on long-term planning and shaping the organization's overall direction, goals, and policies

7. Name one skill required for effective management?

One essential skill for effective management is **communication**. Strong communication ensures that managers can convey ideas, expectations, and goals clearly to their team, foster collaboration, resolve conflicts, and build relationships. It's the backbone of successful leadership, enabling both strategic planning and daily operations to run smoothly.

8. What is an organisation?

An **organisation** is a structured group of individuals who come together to achieve common goals or objectives. It involves the coordination of activities, allocation of resources, and division of tasks to ensure efficiency and effectiveness.

9. What does "Planning is a systematic process"mean?

"Planning is a systematic process" means that planning is carried out in an organized and methodical manner, following a series of steps to achieve specific goals effectively. It involves identifying objectives, analyzing current situations, forecasting future conditions, considering alternatives, and deciding on the best course of action.

10. How does decision making occur in a decentralized organization?

In a **decentralized organization**, decision-making is distributed across various levels of the hierarchy, rather than being concentrated at the top. Here's how it typically works:

1. **Empowerment of Lower Levels**: Authority to make decisions is delegated to managers, departments, or teams closer to the actual work or customer interactions. This allows decisions to be more relevant to specific situations.
2. **Autonomy and Flexibility**: Each unit or department has the autonomy to make decisions within its scope, leading to quicker responses and greater adaptability to local or departmental needs.

PART B

Answer any 3 questions, Each question carries 5 marks

11. Outline the key steps involved in the planning process?

The planning process typically involves the following key steps:

1. **Setting Objectives**: Define clear and measurable goals that the organization aims to achieve.
2. **Analyzing the Current Situation**: Evaluate the existing conditions, including internal strengths and weaknesses, as well as external opportunities and threats.
3. **Identifying Alternatives**: Develop various courses of action or strategies that could help achieve the objectives.
4. **Evaluating Alternatives**: Assess each alternative based on factors such as feasibility, costs, benefits, and risks.

12. Briefly explain the limitations of planning?

While planning is crucial for organizational success, it does have certain limitations:

1. **Time-Consuming**: Planning requires significant time and effort, which might delay immediate actions.
2. **Uncertainty**: Since planning relies on future predictions, unexpected changes in external factors (e.g., market conditions, economic shifts) can render plans ineffective.
3. **Rigidity**: Overemphasis on following plans can reduce flexibility and hinder the ability to adapt to new situations.
4. **Costly Process**: Developing and implementing plans may involve considerable financial and human resources.

13. Briefly explain the benefits of planning?

Benefits of planning:

1. **Provides Direction**: It sets clear objectives and offers a roadmap for achieving them, ensuring everyone in the organization is aligned.
2. **Reduces Uncertainty**: By anticipating potential challenges and devising strategies, planning minimizes the risks associated with unforeseen events.
3. **Improves Efficiency**: Planning helps allocate resources—time, money, and manpower—more effectively, reducing waste and duplication of efforts.
4. **Facilitates Decision-Making**: With clear plans, managers can make informed decisions and act with confidence.

14. Briefly explain the importance of decision making in an organization?

Decision-making is crucial in an organization because it directly impacts its growth, efficiency, and ability to achieve objectives. Here's why it's important:

1. **Determines Direction**: Decisions shape the organization's goals, strategies, and actions, ensuring alignment with its vision and mission.
2. **Problem-Solving**: Effective decision-making addresses challenges, resolves conflicts, and navigates uncertainties.
3. **Resource Optimization**: It ensures the best use of resources like time, money, and personnel, avoiding waste and maximizing productivity.

15. Differentiate Wide span of control and Narrow span of control?

key differences between a **Wide Span of Control** and a **Narrow Span of Control**:

1. **Number of Subordinates**:
    - **Wide Span of Control**: A manager oversees a large number of employees or subordinates.
    - **Narrow Span of Control**: A manager supervises only a few employees or subordinates.
2. **Hierarchy Levels**:

- **Wide Span of Control**: Leads to fewer hierarchical levels, resulting in a flatter organizational structure.
- **Narrow Span of Control**: Leads to more hierarchical levels, creating a taller organizational structure.

3. **Manager's Attention**:
   - **Wide Span of Control**: Managers may find it challenging to give individual attention to all subordinates.
   - **Narrow Span of Control**: Managers can provide closer supervision and personalized guidance.
4. **Cost**:
   - **Wide Span of Control**: Reduces costs due to fewer managers.
   - **Narrow Span of Control**: Increases costs due to the need for more managers.

PART C

Answer any 1 question, Each question carries 8 marks

16. Explain the importance of organization in detail?

The importance of an organization lies in its ability to bring individuals and resources together in a structured way to achieve common goals. Here's a detailed explanation of its significance:

1. **Efficient Use of Resources**: Organizations allocate and utilize resources—like manpower, money, and materials—in a planned and systematic way. This prevents waste and ensures optimal productivity.
2. **Achieving Objectives**: An organization provides a clear framework for setting and achieving specific goals. It aligns individual efforts with the broader vision and mission, ensuring consistency and direction.
3. **Facilitates Coordination**: By assigning roles and responsibilities, organizations ensure that all parts work in harmony. This coordination minimizes duplication of efforts and promotes teamwork.
4. **Encourages Specialization**: Through structured divisions of labor, organizations allow individuals to focus on their areas of expertise. This leads to higher quality work and efficiency.
5. **Adaptability to Change**: A well-organized structure can quickly adapt to changes in the external environment, such as market trends, competition, or technological advancements.
6. **Decision-Making**: Organizations create a hierarchy and define authority levels, making the decision-making process more systematic and effective.
7. **Enhances Communication**: Proper organizational structures ensure smooth and clear communication between various levels, departments, and teams.

17. What is the importance of management in today's business environment?

Management is vital in today's dynamic and competitive business environment due to the following reasons:

1. **Efficient Resource Utilization**: Management ensures optimal use of limited resources like manpower, capital, and technology, reducing waste and maximizing output.
2. **Adaptation to Change**: With rapid changes in markets, technology, and global trends, management helps organizations stay agile and adapt effectively.
3. **Goal Achievement**: It aligns individual efforts with organizational objectives, ensuring that everyone works toward the same vision.
4. **Problem-Solving**: Managers identify challenges and develop innovative solutions to overcome them, maintaining smooth operations.
5. **Motivating Employees**: By fostering a positive work environment and recognizing achievements, management keeps employees motivated and productive.
6. **Strategic Planning**: Effective management involves planning for long-term success and tackling competition through well-defined strategies.
7. **Building Competitive Advantage**: Strong management helps organizations innovate, differentiate themselves, and maintain their edge in the market.
8. **Globalization**: In the era of globalization, management ensures seamless coordination across different regions and cultures.
9. **Crisis Management**: Managers play a key role in navigating crises and ensuring business continuity during challenging times.